IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

CP(CAA)No. 75/BB/2017
CP(CAA)No. 76/BB/2017
U/S 230 and 232 of the Companies Act, 2013
R/w Companies (Compromise, Arrangement and Amalgamation) Rules, 2016

Along with **IA No.27 of 2018 in TP No. 270 of 2017**

Order Delivered on: 20th March 2019

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN

PUMA INDIA CORPORATE SERVICES PRIVATE LIMITED
(Transferor Company)
WITH

PUMA SPORTS INDIA PRIVATE LIMITED
(Transferee Company)
AND

THEIR RESPECTIVE SHARE HOLDERS AND CREDITORS

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Dr.Ashok Kumar Mishra, Member (Technical)

Puma India Corporate Services Private Limited,
No. 509, CMH Road, Indira Nagar,
Bangalore – 560 038 ....Applicant Company / Transferor Company

Puma Sports India Private Limited,
No. 509, CMH Road, Indira Nagar,
Bangalore – 560 038 ....Applicant Company / Transferee Company

For the Petitioner: Shri Anind Thomas, Advocate,
M/s AZB & Partners

For the Objector: Shri Navin S.R., Advocate
Nishant Rai & Associates

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

Heard on: 09.11.2017, 14.11.2017, 03.01.2018, 05.02.2018, 21.02.2018, 21.03.2018, 10.04.2018, 07.05.2018, 12.06.2018, 23.07.2018, 21.08.2018, 10.09.2018, 25.09.2018, 12.10.2018, 29.10.2018, 05.12.2018, 10.12.2018, 21.12.2018, 23.01.2019, and 21.02.2019

COMMON ORDER

1. These Company Petitions were individually filed by the Applicant Companies under Section 230 and 232 of the Companies Act, 2013 seeking for the Scheme of Amalgamation to be sanctioned

by this Hon'ble Tribunal so as to be binding on the Transferee Company and Transferor Company and their respective shareholders and creditors.

2. Brief facts as mentioned in the Company Petitions are as follows:

i) The object of this Petition is to obtain sanction of this Hon'ble Tribunal to the Scheme of Amalgamation of Puma India Corporate Services Private Limited (Transferor Company) with Puma Sports India Private Limited (Transferee Company) and their respective shareholders and creditors.

ii) The Applicant Company/Transferor hereinafter also referred to as the "Transferor Company" was incorporated on 09th September 2009 under the name and style "Puma India Retail Private Limited", with the Registrar of Companies, Bangalore. Subsequently, the name of the Transferor Company was changed to '*Puma India Corporate Services Private Limited*' on 09th September 2016 and it currently bears CIN U52399KA2009FTC050880. The Registered office of the Transferor Company is situated at No. 509, CMH Road, Indira Nagar, Bangalore – 560 038.

iii) The authorised, issued subscribed and paid-up share capital of the Transferor Company as on December 31, 2016, was as follows:

Authorised Capital	Amount in INR
50,000 Equity shares of Rs. 10/- each	5,00,000/-
Total	**5,00,000/-**
Issued, Subscribed and Paid-Up Capital	Amount in INR
10,000 Equity shares of Rs. 10/- each fully paid up	1,00,000/-
Total	1,00,000/-

It is stated that the capital structure of the Transferor Company has not changed from 31st December 2016 till the date of filing of the petition.

iv) The main objects of the Transferor Company on its incorporation inter alia are to 'carry on the business of and to act as Financial Consultants, project consultancy, Accounting, Development and marketing of accounting software, marketing of financial products, to carry on the business of Business Processes Outsourcing in Finance and accounting, Content Management, Procurement outsourcing, accounting job work and to provide, advise and

assist in investment and financial advisory services including financial, costing, accounting internal control and other similar matters and in the preparation of all revenue and capital budgets, development of funds, long term planning or utilisation of resources, procuring bank and institutional finance including cash, credit facilities, overdraft facilities, subscription of debentures and term loans, to assess the needs of short and long term credit facilities and raising of resources, to advise and assist in the formulation of procedures for prevention of fraud, wastage, financial and cost accounting procedure and other connected matters and to advise and assist in formulation and control of long term financial policies and generally to advise and assist in all financial, fiscal and revenue matters, etc.

v) The Applicant Company/Transferee Company (hereinafter also referred to as the "Transferee Company") was incorporated on 23rd September, 2005 as a private limited company, under the name and style "*Puma Sports India Private Limited*", with the Registrar of Companies, Bangalore and the Company currently bears CIN U51909KA2005PTC037319. The Registered office of the Transferee Company is situated at No. 509, CMH Road, Indira Nagar, Bangalore – 560 038.

vi) The Authorised, issued, subscribed and paid-up share capital of Transferee Company as on 31 December, 2016 was as follows:

Authorised Capital	**Amount in INR**
11,50,00,000 Equity Shares of Rs.10/- each	115,00,00,000/-
Issued, Subscribed and Paid-Up Capital	**Amount in INR**
11,03,76,000 Equity Shares of Rs.10/- each	110,37,60,000/-

It is stated that the capital structure of the Transferee Company has not changed from 31st December 2016 till the date of filing of the petition.

vii) The main objects to be pursued by the Transferee Company on its incorporation inter alia are 'to carry on the business of importers, exporters, traders, buyers, sellers, manufacturers, producers and deal in all kinds of sports goods and equipment, sports shoes, leather and non-leather footwear, sports wear, caps, bags and other sports apparel and leisure material', etc.

viii) The Board of Directors of the Transferor Company has approved and adopted the Scheme of Amalgamation of Puma India Corporate Services Private Limited (Transferor Company) with Puma Sports India Private Limited (Transferee Company) at its meeting held on 20th September, 2016. The Board of Directors of the Transferee Company has approved and adopted the Scheme of Amalgamation of Puma India Corporate Services Private Limited (Transferor Company) with Puma Sports India Private Limited (Transferee Company) at its meeting held on 20th September, 2016.

3. The Transferor Company and the Transferee Company had separately filed Transfer Petition No.269 of 2017 in Company Application No. 750 of 2016 and Transfer Petition No. 270 of 2017 in Company Application No. 751 of 2016 before this Tribunal for seeking dispensation of meetings of the shareholders and creditors. This Tribunal vide its separate orders dated 14th March, 2017 dispensed with the meetings of shareholders and creditors of the Transferee Company as well as the Transferor Company.

4. It is pertinent to note that IA No.27 of 2018 was filed in Transfer Petition No. 270 of 2017 connected with Company Application No. 751 of 2016 wherein M/s Deccan Chronicle Holdings Ltd (**"Objector"**), represented by its Interim Resolution Professional on 01.02.2018 seeking to place its Objections on record. The Counsel for the Petitioner Companies have filed rejoinder dated 10.04.2018 to the said IA inter alia denying it in its entirety.

5. This Tribunal vide its orders dated 14th November 2017 directed the Transferor and Transferee Companies to issue Notice to all OL, RD, ROC, and Income Tax and also permitted to issue paper publication in the News paper in The Hindu, English daily and Kannada Prabha, Kannada daily, Bangalore Edition.

6. In pursuant to the same the advocate for the authorised representatives of the Transferor and Transferee Companies have filed Affidavits dated 26.12.2017 for having taken paper publication as directed and have also furnished the copy of the paper publications for having taken Advertisement in **'The Hindu'**, an English daily Newspaper and 'Kannada Prabha' a Kannada daily Newspaper on 15.12.2017 and have also filed proof of service of notice on Regional Director, Ministry of Corporate Affairs, Hyderabad, Registrar of Companies, Bengaluru, Karnataka and OL and to concerned Income Tax Officer.

7. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No.192/2017 dated 01st December, 2017 making the following requests:

a) That the Official Liquidator may be permitted to appoint a Chartered Accountant from the panel approved by the Hon'ble High Court of Karnataka for scrutiny of the books of account and records of Transferor Company and to submit reports on the affairs of the Company.

b) That the Petitioner Company may be directed to pay the professional fees of the Chartered Accountant as may be mutually agreed and that in case the Chartered Accountant charges exorbitant fee which is not acceptable to the Transferor Company, the Official Liquidator shall appoint other Chartered Accountant by cancelling the appointment of the Chartered Accountant.

8. The Registrar of Companies, Karnataka has filed the observations dated 07.09.2017 making the following observations:

i. M/s Deccan Chronicle Holdings Limited being one of the creditors of the Transferee Company has serviced upon this office a copy of objection filed before the National Company Law Tribunal, Bengaluru objecting the Amalgamation between Puma India Corporate Services Private Limited with Puma Sports India Private Limited stating that the Transferee Company has outstanding dues payable to the Objector as amount to the extent of Rs.1,00,59,966.55/-.

ii. The petition may be decided on merits.

9. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Affidavit dated 03rd January, 2018 making the following observations:

(i) The debt due by the Transferee Company to the objector constitutes 0.6% of the total debt. However, every creditor has a right to object (which may be surviving even after amalgamation), the security/comfort that the creditor has in the Transferee Company may get diminished by virtue of vesting of the liabilities of the Transferor Company. The debt owed by the Transferee company is Rs.1,00,59,966.55 which may be only 0.6% of its total debt but it may be a substantial debt for the objector. Moreover, every creditor, including a contingent creditor, whose interest is likely to be adversely affected consequent to the proposed amalgamation/merger certainly has a right to agitate against the proposed corporate action. The Hon'ble Apex Court in *Miheer H. Mafatlal vs. Mafatlal Industries Ltd* case had held that a scheme might have got the

requisite majority support of creditors or members but it cannot act as a rubber stamp and put its seal of approval automatically. The Company court has to consider the pros and cons of the scheme and not merely go by the decision of the majority of members or creditors. Hence the objection of DCHL to the proposed scheme may be adjudicated by the Hon'ble NCLT.

(ii) It is observed that the Transferor Company had an accumulated loss of Rs.3.03 crores as on 31.12.2015 on a paid up capital of Rs.1,00,000/-. During the year 2015, it posted a total revenue of Rs.7.23 crores on which it posted a profit of Rs.2.60 crores. The variations in financial results between the year 2014 and 2015 also is very significant and needs an explanation. Prima facie, the dramatic change in the viability of the operations from year 2015 to year 2016 is difficult to fathom from the financial statements of 2016. Hence, the Hon'ble Tribunal may be pleased to direct the Transferor Company to explain in sufficient details about such a dramatic turn in fortune.

(iii) The Transferor Company had bought goods worth Rs.65.75 crores from the Transferee Company during the years 2015 and 2016 which attract compliance of Section 188 of the Companies Act, 2013. Keeping in view the volatile financial results during the period 2014 to 2016, the Transferor Company needs to explain with documentary evidence as to how the transactions between them are on arms length basis and as to how those are not prejudicial to its interest. This assumes importance in the light of the proposed dissolution of Transferor Company without winding up and that the transactions between these two companies are substantial from the view point of the total revenues of the Transferor Company.

10. The Official Liquidator attached to the High Court of Karnataka has filed report OLR No. 35/2018 dated 05th March, 2018 making the following submissions:

i. That the Applicants, Puma India Corporate Services Private Limited (Transferor Company) and Puma Sports India Private Limited (Transferee Company) have filed a petition for the seeking sanction of the scheme of amalgamation of Puma India Corporate Services Private Limited (Transferor Company) with Puma Sports India Private Limited (Transferee Company) and their respective shareholders and creditors.

ii. That pursuant to the orders of this Hon'ble Tribunal 03.01.2018, the Official Liquidator engaged one of his panel Chartered Accountant, M/s HRA & Co, Chartered Accountants for scrutiny of the books of accounts and records of above Transferor Company.

iii. That M/s HRA & Co, Chartered Accountants, have submitted their report dated 14.02.2018 on the affairs of Transferor Company wherein inter alia it is stated that there are outstanding dues on account of dispute in respect of Income Tax and Service Tax as follows:-

"The company has maintained books of accounts and statutory registers and papers up to date. The company has filed all necessary statutory returns with various authorities. The company is in general, regular in paying undisputed taxes and salaries of the employees. The company has been regular in holding meeting of the Directors as required under the law.

We have obtained all information and explanations with the best of our knowledge and belief were necessary for the purpose of our audit. Based on the scrutiny of books and records maintained and according to the obtained from the Transferor company, we are of the opinion that:

A. The company has maintained proper books of accounts, papers, statutory registers and records as required by the Companies Act.

B. That the affairs of the Company have been conducted in a manner NOT prejudicial to the interests of the members or public interest."

iv. That the Official Liquidator prays this Hon'ble Tribunal that suitable order/orders may be passed on the merits of the case subject to objection, if any, by other sectoral regulators and the Transferor Company may be dissolved without winding up by this Hon'ble Tribunal, and/or any further order/orders as may be deemed fit and proper in the facts and circumstances of the case.

11. The Authorized Signatories of the Transferor Company has filed statement of objections to the affidavit on behalf of the Registrar of Companies dated 10.04.2018, stating that:-:

- Objection to paragraph 3(a)

a) The right of any creditor to object is no longer the law. The proviso of Section 230(4) of the Companies Act, 2013 make it clear that no such objections can be taken on

record. an extract of the proviso to Section 230(4) of the Companies Act, 2013 is produced below:

"Provided that any objection to the compromise or arrangement shall be made only by persons holding not less than ten per cent of the shareholding or having outstanding debt amounting to not less than five per cent of the total outstanding debt as per the latest audited financial statement."

b) Assuming without admitting that an alleged sum of INR 1,00,59,966.55 (Rupees One Crore Fifty Nine Thousand Nine Hundred and Sixty Six and Fifty Five paise) is payable by the Transferee (Puma Sports India Private Limited) to Deccan Chronicle Holdings Limited ("DCHL"), the alleged debt constitutes, at best, only 0.6% of the entire debt of the Transferee. DCHL does not even meet the threshold requirement prescribed under Section 230(4) of the Companies Act, 2013 to be able to object to the same.

c) A reference has been made to the case of ***Miheer H Mafatlal*** **vs.** ***Mafatlal Industries Ltd.*** wherein it was held that "*a scheme might have got the requisite majority support of creditors or members but the same cannot act as a rubber stamp and put its seal of approval automatically. The Company court has to consider the pros and cons of the scheme and not merely go by the decision of the majority members of creditors.*" It has further been stated in the ROC/RD Report that the said objections raised by DCHL be adjudicated. DCHL has failed to produce any evidence to show that the scheme is not in public interest and that there is any need to override the wishes of the vast majority of creditors who have acted bona fide and in good faith. Ex facie, it is clear that the only interest of DCHL is to try and abuse the process of law to claim amounts that are barred by limitation.

d) Further, the Transferor has dues of INR 28.32 lakh as on September 30,2016 as certified by the auditor in its certificate dated November 26, 2016. The said debt owed to its unsecured creditors has been all paid off as on date. Therefore, there is no security diminution due to the amalgamation.

- Objections to Paragraph 3(b)

a) It has been stated in the ROC/RD Report that the Transferor had an accumulated loss of INR 3.03 Crore as on December 31, 2015. However, it has been wrongly stated in the ROC/RD Report that during the year 2015, the total revenue of the Transferor was 'INR

9.20 Crore' on which it was booked a loss of INR 4.66 Crore. The total revenue of the Transferor as on December 31, 2015 was INR 92,01,05,984 or INR 92.01 Crore.

b) It has been stated in the ROC/RD Report that during the year 2016, the Transferor booked a total revenue of 'INR7.23 Crore' on which it posted a profit of INR 2.60 Crore. It is submitted that the ROC/RD Report has wrongly stated the amount of total revenue for the year ended December 31, 2016. The total revenue for the year ended December 31, 2016 was INR 72,30,15,637 or INR 72.3 Crore. Copies of the Balance Sheet are produced along with the petition.

c) Given that the total revenues are almost 10 times as what has been stated in this ROC/RD Report, it is submitted that there is no significant variation or turn in fortune of the Petitioner that requires specific explanation.

d) The variations are due to performance of the business and in line with the market conditions that existed at that point of time. The same is fully captured in the audited balance sheets produced along with the Petition.

- Objections to paragraph 3(c)

a) The ROC/RD Report points out to certain transactions entered into between the Transferor and the Transferee during the year 2015 and 2016 and that such transactions are a 'related party transaction' which would attract the provisions contained under Section 188 of the Companies Act, 2013. It is submitted that the transactions were entered into in the ordinary course of business at arm's length price, in accordance with applicable laws in force. Therefore the provisions of Section 188 of the Companies Act, 2013 are not applicable to such transactions. By the Indian Transfer Pricing Documentation for the financial year 2015-16 of the Transferor, it is clearly explained in Chapter 4 as to how the transactions between the Petitioner and Transferee Company were on arm's length basis and not prejudicial to the interests of the Petitioner.

b) Page No. 7 of Annexure to the Affidavit shows the summary of specified domestic transactions entered into by the Petitioner with the Transferee Company. As per the summary, the Petitioner purchased footwear, apparel and accessories from the Transferee Company for a sum of INR 60,35,56,941 from the Transferee Company. It is concluded in the summary that the said transactions were at arm's length.

c) Further, it is false to state that the results of the financials of the Petitioner for the period between 2014 and 2016 were volatile.

12. The Respondent/Objector, Deccan Chronicle Holdings Limited represented by its Resolution Professional, Dr. (h.c.) CS Mamta Binani has filed a Statement of Claim vide affidavit dated 20.12.2018 making the following statements:

(i) That Objector and Applicant/Transferee Company entered into a 'Sponsorship and Licensing Agreement' (referred to as the 'Agreement') for the year 2011 and 2012 as per the terms and conditions stipulated therein.

(ii) That the Agreement vested exclusive sponsorship rights in the Transferee Company and also designated the Transferee Company as the 'Apparel Sponsor' for the Indian Premier League (IPL) franchise of Objector, that is Deccan Chargers. The Deccan Chargers had players of international repute in its team and were even winners of the 2009 season of IPL.

(iii) That as per the Agreement entered between the Transferee Company and Objector, all products supplied by Transferee Company were duly used by the franchise of the Objector, i.e., Deccan Chargers during various matches across the country. All the products/articles supplied by the Transferee Company has PUMA logos and were duly approved by the Objector and the Transferee Company by mutual consent.

(iv) That the Objector after duly fulfilling its duties and obligations under the Agreement raised its invoices however outstanding dues to the tune of Rs.1,00,59,966.55/- (Rupees One Crore Fifty Nine Thousand Nine Hundred Sixty Six and Fifty Five Paise) were acknowledged by the Transferee Company from the month of May-June 2012 onwards which is also reflected in the Transferee Company's post account closure statement supplied to the Objector through email.

(v) that it is pertinent to mention that these outstanding dues are much less than what is originally owed to the Objector. The ledger of the Objector reflecting the total dues to the Transferee Company were also attached.

(vi) That vide termination notice dated 31.11.2012, Transferee Company terminated Agreement retrospectively while there existed no right in the Transferee Company to do so. However, it is pertinent to mention here that all the while the Transferee Company continued to acknowledge its outstanding dues but kept refusing to pay them. The Transferee Company kept dilly dallying the issue of payment of outstanding dues till

January 2014 despite various demands raised through correspondence exchanged via emails and telephonic calls and other notices.

(vii) That the Objector's franchise, i.e., Deccan Chargers played IPL 2012 season duly using the Transferee Company's product/articles displaying the PUMA logo as per the terms and conditions stipulated in the Agreement thereby fulfilling its part of obligation and making Transferee Company liable for the outstanding dues for which invoices were also duly sent to the Transferee Company.

(viii) That Transferee Company had miserably failed to honour its part of obligations and duties as per the Agreement and owes the Objector dues according to the invoices sent to the Transferee Company as well as according to its own admitted outstanding dues to the tune of Rs.1,00,59,966.55 (Rupees One Crore Fifty Thousand Nine Hundred Sixty Six and Fifty Five Paise).

(ix) The Transferee Company's conduct in the past only reflects the Transferee Company's unwillingness to perform its part of the obligations and duties to pay outstanding dues to the unsecured creditors including the Objector.

(x) The list of unsecured creditors of the Transferee Company submitted in TP No. 270 of 2017 in CA No. 751 of 2016 clearly shows an outstanding balance of 100.60 lacs which the Transferee Company owes to the Objector.

(xi) It is pertinent to note that ROC and RD have taken into consideration the Objectors objection into account and prayed for the claim to be adjudicated.

(xii) The Objector is not claiming anything beyond the acknowledged debt of the Transferee Company.

13. The Counsel for the Petitioner Companies have filed Common Written Submissions on 07.03.2019 and 08.03.2019 on behalf of the Transferor and Transferee Companies wherein the submissions are summarised as follows:

- On the contention that a sum of INR 1,00,59,966.55 (Rupees One Crore Fifty Nine Thousand Nine Hundred and Sixty Six and Fifty Five Paise) under Sponsorship and Licensing Agreement is owed to the Objector by the Transferee Company:

a) It is reiterated that the alleged claim of the Objector, Deccan Chronicle Holdings Limited (DCHL) is against the Transferee Company and not the Transferor Company. The Transferee, as the name suggests, will continue to exist and will not undergo liquidation pursuant to the Scheme. Without prejudice to anything stated below, the Scheme contemplates that the liabilities of the Transferee will be retained by the Transferee, and

therefore the claims of the unsecured creditors of the Transferee are in no manner affected. The Transferee is not being wound up and it shall continue to exist and operate even subsequent to amalgamation. In the unlikely event that DCHL files appropriate proceedings against the Transferee and succeeds in their claim despite being barred by limitation, DCHL has no occasion to fear that the Transferee will escape its obligations by virtue of the Scheme. Further, a mere perusal of the financial position and the balance sheet of the Transferee makes it abundantly clear that the Transferee would be able to meet the liabilities of the Transferor while also continuing to meet its own liabilities.

b) The right of any creditor to object is no longer the law. The proviso of Section 230(4) of the Companies Act, 2013 makes it clear that no such objections can be taken on record.

c) Assuming without admitting that an alleged sum of INR 1,00,59,966.55 (Rupees One Crore Fifty Nine Thousand Nine Hundred and Sixty Six and Fifty Five Paise) is payable by the Transferee (Puma Sports India Private Limited) to DCHL, the alleged amount constitutes, at best, only 0.6% of the entire debt of the Transferee. DCHL does not meet the threshold requirement prescribed under Section 230(4) of the Companies Act, 2013 to be able to object to the same.

d) In this regard, reliance is placed on paragraph 47 of *China Development Bank Corporation and Others v. Reliance Communication Ltd. & Ors*, by the Hon'ble National Company Law Tribunal, Mumbai Bench, reported in [2017] 205 Comp Cas 525, which is :
"*therefore, raising an objection means filing an application before the Tribunal, for filing such objection since proviso mandates 5% value out of the outstanding debt, the objection raised by the objector will not have any locus unless qualified with the threshold limit prescribed. In view of such arrangement in built in the statute, these objectors will not have any locus because all these objectors credit value even in aggregate is less than 5% of total outstanding debt as shown in the audited financial statement of the company.*"

e) A reference to *Miheer H. Mafatlal vs. Mafatlal Industries Ltd* case has been made to state that DCHL has failed to produce any evidence to show that the Scheme is not in public interest and that there is any need to override the wishes of the vast majority of creditors who have acted bona fide and in good faith and that too in the absence of any proof of malafide or fraudulent intent behind the Scheme. Further, *Miheer H. Mafatlal vs. Mafatlal Industries Ltd* case is under the Companies Act, 1956 and will not come to the aid of the person claiming to be holding 0.6% of the outstanding debt.

f) The decisions of Hon'ble High Court of Bombay in *Re Zee Interactive Multimedia Ltd.* (Company Petition Nos. 1096 and 1097 of 2001) and *In Re Mayfair Ltd.* (Company Petition Nos. 326 and 327 of 2003) has been cited in support of their submissions.

g) The only interest of DCHL is to try and abuse the process of law to claim amounts that are barred by limitation. As per DCHL's own admission, the alleged amount dates back to the year 2012, when the Sponsorship Agreement was terminated by the Transferee on November 30, 2012. As such, any recovery proceedings that DCHL ought to have filed in relation to the purported claim should have been filed within 3 years, i.e., by 2016. Further, DCHL cannot seek shelter under the provisions of Section 18 of Limitation Act, 1963 by claiming that the Transferee has acknowledged its debt. DCHL has not produced any document in which the Transferee has acknowledged its debt towards DCHL.

h) DCHL is a contingent creditor where the amount is disputed. This is a clear case where DCHL is using the said proceedings to recover disputed amounts from the Transferee. DCHL has an option to approach a court of valid jurisdiction or even seek a reference of the matter to arbitration. The Balance Sheet of the Transferee as on December 20, 2016 classifies a sum of around INR 2.73 crore as 'customers/vendors claim against the Company not acknowledged as debt' under contingent liabilities.

- On the contention that the Transferor (Puma Corporate Service India Private Limited) has to explain the 'dramatic turn in fortune' with respect to the financial results between the years 2015-16-

  a) The ROC/RD Report is based on a misunderstanding of the balance sheets of the Transferor Company. It has been stated in the ROC/RD Report that the Transferor had an accumulated loss of INR 3.03 Crore as on December 31, 2015. However, it has been wrongly stated in the ROC/RD Report that during the year 2015, the total revenue of the transferor was 'INR 9.20 Crore' on which it booked a loss of INR 4.66 Crore. The total revenue of the Transferor as on December 31, 2015 was INR 92,01,05,984 or INR 92.01 Crore.

  b) In the ROC/RD Report it is stated that the Transferor Company booked a total revenue of 'INR 7.23 Crore' on which it posted a profit of INR 2.60 Crore. It is submitted that the ROC/RD Report has wrongly stated the amount of total revenue for the year ended December 31, 2016 as the total revenue for that year was INR 72,30,15,637 or INR 72.3 Crore as is given in the balance sheet.

c) ROC/RD have failed to observe that the Transferor had invested a sum of around INR 65 crore in 'stock in trade' in the year 2015. Thereafter, in the year 2016, the Transferor chose to invest only a sum of around INR 30 crore in 'stock in trade', which explains the profit made by the Transferor in the year 2016.

d) Total revenues are ten times as what has been stated in the ROC/RD Report and there is no significant variation or turn in fortune that requires explanation. The variations are normal and due to performance of business and in line with the market conditions that existed at that point of time. The same is fully captured in the audited balance sheets produced along with the Petition.

- On the contention that the Transferor Company has entered into several transactions with the Transferee Company-

a) The said transactions in the years 2015 and 2016 were entered into in the ordinary course of business and at arm's length price, in accordance with applicable laws in force. The provisions of Section 188 of the Companies Act, 2013 are not applicable to such transactions.

b) By the Indian Transfer Pricing Documentation for the financial years 2014-15 and 2015-16 of the Transferor, prepared by E&Y, Chartered Accountants, it is clearly explained in as to how the transactions between the Transferor and the Transferee were on arm's length basis and not prejudicial to the interests of the Transferor. As per the summary of specified domestic transactions entered into by the Transferor with the Transferee Company, the Transferor purchased footwear, apparel and accessories from the Transferee Company for a sum of INR 60,35,56,941 from the Transferee Company in the financial year 2015-16 at arm's length. The results of financials of the Transferor for the period between 2014 and 2016 were volatile.

14. We have heard all parties and perused through the submissions and documents made by them. Firstly, the Objector has filed a statement of claims against the Scheme as Rs.1,00,59,966.55 (Rupees One Crore Fifty Thousand Nine Hundred Sixty Six and Fifty Five Paise) is owed to them by the Transferee Company. Admittedly, the debt owed by the Transferee Company to the Objector is 0.6% of its total debt. As per the proviso to Section 230(4) of the Companies Act, 2013, objection to the Scheme shall be made only by persons holding not less than ten per cent of the shareholding or having outstanding debt amounting to not less than five per cent of the total outstanding debt as per the latest audited financial statement. As per Section 230(9) of the Companies Act, 2013, the Tribunal may dispense with calling of a meeting of creditor or class of

creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. In the present case, more than ninety per cent of the creditors of the Transferee Company have given consent by way of affidavits, due to which the creditors' meeting was dispensed with in accordance with the provisions of Section 230(9) of the Companies Act, 2013. In addition to that, the alleged amount is to be paid by the Transferee Company which shall remain in existence even after the Scheme is given effect. It is also noted that there are other appropriate forum wherein the Objector can pursue its claims against the Transferee Company. Secondly, as the ROC/RD Report states, the Transferor Company having an accumulated loss of Rs.3.03 crores as on 31.12.2015 on a paid up capital of Rs.1,00,000/- and during the year 2015, it posted a total revenue of Rs.72.3 crores on which it posted a profit of Rs.2.60 crores. This implies that the net worth of the Company is negative and the losses have been carried forward. The notice regarding the Scheme had been sent to the Income Tax Department as per Order of this Tribunal dated 03rd January 2018, however no response was received. The Transferor Company cannot be allowed to have the benefit of carrying forward of losses in the absence of approval from the Income Tax Authorities. Thirdly, as per the Report of the Official Liquidator, an appeal has been filed with Dispute Resolution Panel for the Assessment Year 2014-15 as against the Transferor Company which is yet to be disposed from the authorities. Yet again, appropriate response is awaited from the Income Tax Department. Fourthly, the Transferor Company has purchased over Rupees Sixty Five Crores worth of goods from the Transferee Company during the years 2015 and 2016 which need to be compounded.

15. After hearing the Counsel for the Petitioner Companies, Counsel for the Objector and considering the materials on record, the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved subject to certain conditions. **THIS TRIBUNAL DO FURTHER ORDER:**

(1) The IA No.27 of 2018 filed in Transfer Petition No. 270 of 2017 by the Objector is disposed off with liberty granted to the Objector to approach the appropriate forum to pursue its claims against the Transferee Company.

(2) The Transferor Company is not permitted to have the benefit of carrying forward of losses. Therefore, this aspect of carrying forward of losses needs to be separated from the Scheme in order to be examined by the Income Tax department and be considered on merits. Accordingly, Clause 12.3 of the Scheme stands modified to this extent.

(3) The Income Tax Department is free to make its independent assessment regarding the Transferor Company on merits notwithstanding this Order.

(4) While approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law; and

(5) The Whole of the property, rights and powers of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

(6) All the liabilities including taxes and charges, if any, and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Transferee Company; and

(7) The Petitioner Companies to comply with provisions of Income Tax law and the tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding; and

(8) All the proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company, if any; and

(9) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to be delivered to the Registrar of Companies for registration in accordance with applicable rules and regulations; and

(10) The Registrar of Companies before registration as stated to ensure Compliance of Petitioner's undertaking dated 10th April, 2018 as well as stamp duty as fixed by Inspector General of Registration and Commissioner of stamps. Registration of the scheme must be effected on ensuring the compliance of the above by Registrar of Companies; and

(11) The Petitioner Companies are directed to compound the offence under S.188 of the Companies Act, 2013.

(12) The Petitioner Companies will ensure compliance of their Affidavit dated 10th April, 2018; and will submit Quarterly/Annual Status of compliances through an Affidavit by Managing Director/Director of the Company along with CA/ICWA/CS Certificate till the compliance is ensured.

(13) The appointed date shall be **30th September 2016**; and

(14) The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Transferor Company to the Transferee Company for the purpose of section 239 of the Companies Act, 2013.

(15) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)

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